



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

www.rbi.org.in

RBI/2019-20/240

DOR.No.Ret.BC.74/12.01.001/2019-20

May 22, 2020

All Scheduled and Non Scheduled Banks

Dear Sir / Madam

Change in Bank Rate

Please refer to our [circular DBR.No.Ret.BC.53/12.01.001/2019-20 dated March 27, 2020](#) on the captioned subject.

2. As announced in the [Monetary Policy Statement 2020-21 dated May 22, 2020](#), the Bank Rate is revised downwards by 40 basis points from 4.65 per cent to 4.25 per cent with immediate effect.

3. All penal interest rates on shortfall in reserve requirements, which are specifically linked to the Bank Rate, also stand revised as indicated in the [Annex](#).

Yours faithfully,

(Dr.S.K.Kar)
Chief General Manager

Encl. : As above

Annex

Penal Interest Rates which are linked to the Bank Rate

Item	Existing Rate	Revised Rate (With immediate effect)
Penal interest rates on shortfalls in reserve requirements (depending on duration of shortfalls).	Bank Rate plus 3.0 percentage points (7.65 per cent) or Bank Rate plus 5.0 percentage points (9.65 per cent).	Bank Rate plus 3.0 percentage points (7.25 per cent) or Bank Rate plus 5.0 percentage points (9.25 per cent).

Withdrawn